Fibonacci Retracement, on the other hand, helps traders to identify key reversal levels after a correction in a trend. It is based on the idea that prices tend to retrace a predictable portion of a move, after which they may continue in the original direction. Fibonacci Retracement levels are calculated by measuring the distance between a high and low point and applying Fibonacci ratios of 23.6%, 38.2%, 50%, 61.8%, and 100%. Traders use these levels to identify potential entry and exit points in a trend.